

Section : Economics

Q.1 Any concept or saying, that describes the functioning of an imaginary economy is called

1. Macroeconomic Model
2. Microeconomic Model
3. Economic Performance
4. Production Method

Options 1. 1

2. 2
3. 3
4. 4

Q.2 How much total credit creation can bank creates with Cash Reserve Ratio of 20% when bank's reserves are Rs. 1000.

1. 5000
2. 10000
3. 2000
4. 4000

Options 1. 1

2. 2
3. 3
4. 4

Q.3 What government planned for different economic activities is an application of which of the following?

1. Ex-post
2. Ex-policy
3. Ex-data
4. Ex-ante

Options 1. 1

2. 2
3. 3
4. 4

Q.4 Arrange the following elasticity degrees along the demand curve in their ascending order.

- (A) Elasticity (e_d) = 1
- (B) Elasticity (e_d) > 1
- (C) Elasticity (e_d) < 1
- (D) Elasticity (e_d) = 0

Choose the correct answer from the options given below:

1. (A), (B), (C), (D)
2. (A), (C), (B), (D)
3. (B), (A), (D), (C)
4. (D), (C), (A), (B)

Options 1. 1

2. 2
3. 3
4. 4

Q.5 Which among the following are the features of the indifference curve?

- (A) Indifference curve slopes downwards from left to right.
- (B) Higher indifference curve gives greater level of utility.
- (C) Indifference curve reflects negative utility.
- (D) Two indifference curves never intersect each other.

Choose the correct answer from the options given below:

1. (A), (C) and (D) only
2. (A), (B) and (C) only
3. (A), (B), (C) and (D)
4. (A), (B) and (D) only

Options 1. 1

2. 2

3. 3

4. 4

Q.6 Arrange the following money measures into their high to low liquid form.

(A) M4

(B) M2

(C) M1

(D) M3

Choose the correct answer from the options given below:

1. (A), (B), (C), (D)

2. (A), (C), (B), (D)

3. (B), (A), (D), (C)

4. (C), (B), (D), (A)

Options 1. 1

2. 2

3. 3

4. 4

Q.7 Set of all possible combinations of the two inputs that yield the same maximum possible level of output is known as _____

1. Indifference Curve

2. Production Possibility Curve

3. Isoquant

4. Budget Line

Options 1. 1

2. 2

3. 3

4. 4

Q.8 In given production function $q=f(x_1, x_2)$ what is depicted by $f(tx_1, tx_2) < t \cdot f(x_1, x_2)$

1. Constant returns to scale.

2. Increasing returns to scale.

3. Decreasing returns to scale.

4. Marginal returns to scale.

Options 1. 1

2. 2

3. 3

4. 4

Q.9 Match List-I with List-II

List-I

List-II

(A) Net Worth

(I) Currency + Deposits

(B) M1

(II) Reserves + Loans

(C) Assets

(III) 1 / Cash Reserve Ratio

(D) Money Multiplier (IV) Assets – Liabilities

Choose the correct answer from the options given below:

1. (A) – (IV), (B) – (I), (C) – (II), (D) – (III)

2. (A) – (I), (B) – (III), (C) – (II), (D) – (IV)

3. (A) – (I), (B) – (II), (C) – (IV), (D) – (III)

4. (A) – (III), (B) – (IV), (C) – (I), (D) – (II)

Options 1. 1

2. 2

3. 3

4. 4

Q.10 The economic approach in which we try to understand whether given mechanisms are desirable or not is known as _____.

1. Normative Economics
2. Positive Economics
3. Cardinal Approach
4. Ordinal Approach

Options 1. 1

2. 2

3. 3

4. 4

Q.11 If aggregate demand changes, the equilibrium level of income changes. This can happen in any one or combination of the following situations:

- (A) Change in consumption.
- (B) Multiplier Effect.
- (C) Substitute Effect.
- (D) Change in investment.

Choose the correct answer from the options given below:

1. (A), and (D) only
2. (B) and (C) only
3. (A), (B), (C) and (D)
4. (A) and (D) only

Options 1. 1

2. 2

3. 3

4. 4

Q.12 When the price of a cricket ball is ₹10, let us assume that 200 cricket balls are produced in aggregate by the firms in the market. When the price of a cricket ball rises to ₹30, let us assume that 1,000 cricket balls are produced in aggregate by the firms in the market.

Calculate the elasticity of supply.

Options:

1. 2
2. 3
3. 4
4. 1

Options 1. 1

2. 2

3. 3

4. 4

Q.13 When the Reserve Bank of India buys government bonds from the market, how does that affect money supply in the economy?

1. Increases Money Supply
2. Decreases Money Supply
3. Money Supply Remains Constant
4. Increases the assets of government

Options 1. 1

2. 2

3. 3

4. 4

Q.14 Match List-I with List-II

List-I

(A) Net National Product at Market Prices (NNP_{mp})

(B) Gross National Product at Market Prices (GNP_{mp})

(C) Gross National Product at Factor Cost (GNP_{fc})

(D) GVA at Market Prices

List-II

(I) GNP_{mp} - Net Product Taxes - Net Production Taxes

(II) GDP at market prices

(III) GNP_{mp} - Depreciation

(IV) GDP_{mp} + NFIA

Choose the correct answer from the options given below:

1. (A) - (I), (B) - (II), (C) - (III), (D) - (IV)
2. (A) - (I), (B) - (III), (C) - (II), (D) - (IV)
3. (A) - (I), (B) - (II), (C) - (IV), (D) - (III)
4. (A) - (III), (B) - (IV), (C) - (I), (D) - (II)

Options 1. 1

2. 2
3. 3
4. 4

Q.15 Identify the economic agents from the following.

- (A) Consumers.
- (B) Institutions like banks or corporations.
- (C) Producer.
- (D) Government.

Choose the correct answer from the options given below:

1. (A), (B) and (D) only
2. (A), (B) and (C) only
3. (A), (B), (C) and (D)
4. (B), (C) and (D) only

Options 1. 1

2. 2
3. 3
4. 4

Q.16 Consumer Price Index (CPI) is measured by _____.

1. Measuring Wholesale price of commodities.
2. Basket of commodities bought by representative consumers.
3. Measuring Foodgrain Prices in economy.
4. Measuring Consumables Prices at a particular time point.

Options 1. 1

2. 2
3. 3
4. 4

Q.17 Match List-I with List-II

- | List-I | List-II |
|----------------------------|---|
| (A) Public Provision | (I) No feasible way to deny anyone to use public goods. |
| (B) Stabilisation Function | (II) Goods are produced directly by the government. |
| (C) Non-Excludable | (III) Financed through the budget and can be used without any direct payment. |
| (D) Public Production | (IV) Whether to expand demand or reduce it. |

Choose the correct answer from the options given below:

1. (A) - (III), (B) - (IV), (C) - (I), (D) - (II)
2. (A) - (I), (B) - (III), (C) - (II), (D) - (IV)
3. (A) - (I), (B) - (II), (C) - (IV), (D) - (III)
4. (A) - (I), (B) - (III), (C) - (III), (D) - (IV)

Options 1. 1

2. 2
3. 3
4. 4

Q.18 The government can change the distribution of income and bring about a distribution that is considered 'fair' by society. This policy decision is called _____.

1. Stabilization Function
2. Allocative Function
3. Redistribution Function
4. Transactory Function

Options 1. 1

2. 2
3. 3
4. 4

Q.19 Match List-I with List-II

List-I

- (A) Satisfaction derived from consuming the given amount of some commodity x.
 (B) Change in total utility due to consumption of one additional unit of a commodity.
 (C) Ranking of various consumption bundles.
 (D) Downward slope of indifference curve.

List-II

- (I) Marginal Rate of Substitution
 (II) Ordinal Utility
 (III) Marginal Utility
 (IV) Total Utility

Choose the correct answer from the options given below:

1. (A) – (IV), (B) – (III), (C) – (II), (D) – (I)
2. (A) – (I), (B) – (III), (C) – (II), (D) – (IV)
3. (A) – (I), (B) – (II), (C) – (IV), (D) – (III)
4. (A) – (III), (B) – (IV), (C) – (I), (D) – (II)

Options 1. 1

2. 2
3. 3
4. 4

Q.20 Arrange the following in ascending order in respect of their year of implementation (in India).

- (A) Goods and Service Tax.
 (B) Demonetization of 500 and 1000 currency notes.
 (C) Fiscal Responsibility and Budget Management Act.
 (D) Economic Reform.

Choose the correct answer from the options given below:

1. (A), (B), (C), (D)
2. (D), (C), (B), (A)
3. (B), (A), (D), (C)
4. (C), (B), (D), (A)

Options 1. 1

2. 2
3. 3
4. 4

Q.21 When in an economy, available resources are fully utilized at that point production of a combination of goods is known as _____.

1. Indifference Curve
2. Isoquant
3. Production Possibility Frontier
4. Production Possibility Set

Options 1. 1

2. 2
3. 3
4. 4

Q.22 Match List-I with List-II

List-I

- (A) Current Account
 (B) Capital Account
 (C) Current Account Deficit
 (D) Trade in Services

List-II

- (I) Receipts < Payments
 (II) Net Investment Income
 (III) Transfer Payment
 (IV) Portfolio Investment

Choose the correct answer from the options given below:

1. (A) – (I), (B) – (III), (C) – (III), (D) – (IV)
2. (A) – (I), (B) – (III), (C) – (II), (D) – (IV)
3. (A) – (I), (B) – (II), (C) – (IV), (D) – (III)
4. (A) – (III), (B) – (IV), (C) – (I), (D) – (II)

Options 1. 1

2. 2
3. 3
4. 4

Q.23 From the following, identify the main features of the Fiscal Responsibility and Budget Management (FRBM) Act.

(A) The actual deficits may exceed the targets specified only on grounds of national security or natural calamity or such other exceptional grounds as the central government may specify.

(B) The Act mandates the central government to take appropriate measures to reduce fiscal deficit to not more than 3 percent of GDP.

(C) The central government shall not borrow from the Reserve Bank of India except under specified conditions.

(D) Measures to be taken to ensure greater transparency in fiscal operations.

Choose the correct answer from the options given below:

1. (A), (B) and (D) only
2. (A), (B) and (C) only
3. (A), (B), (C) and (D)
4. (B), (C) and (D) only

Options 1. 1

2. 2
3. 3
4. 4

Q.24 The ratio of the total increment in equilibrium value of final goods output to the initial increment in autonomous expenditure is called:

1. Money Multiplier
2. GDP Multiplier
3. Investment Multiplier
4. Tax Multiplier

Options 1. 1

2. 2
3. 3
4. 4

Q.25 Price ceiling is one concept which provides safeguard to _____.

1. Producer
2. Intermediaries
3. Consumer
4. Government

Options 1. 1

2. 2
3. 3
4. 4

Q.26 The benefits (or harms) a firm or an individual causes to another for which they are not paid (or penalized) is referred to as _____.

1. Free movement of goods
2. Externalities
3. Public Goods
4. Environmental freedom

Options 1. 1

2. 2
3. 3
4. 4

Q.27 Question:
Match List-I with List-II

List-I

(A) Marginal propensity to consume

List-II

(I) Change in savings per unit change in income.

List-I

(B) Marginal propensity to save

(C) Average propensity to consume

(D) Average propensity to save

List-II

(II) Savings per unit of income.

(III) Change in consumption per unit change in income.

(IV) Consumption per unit of income.

Choose the correct answer from the options given below:

1. (A) – (I), (B) – (II), (C) – (III), (D) – (IV)
2. (A) – (III), (B) – (I), (C) – (IV), (D) – (II)
3. (A) – (I), (B) – (II), (C) – (IV), (D) – (III)
4. (A) – (III), (B) – (IV), (C) – (I), (D) – (II)

Options 1. 1

2. 2

3. 3

4. 4

Q.28 Arrange the following central bank reserve rates in their descending rates.

(A) Cash Reserve Ratio

(B) Repo Rate

(C) Reverse Repo Rate

(D) Statutory Liquidity Ratio

Choose the correct answer from the options given below:

1. (A), (B), (C), (D)
2. (A), (C), (B), (D)
3. (D), (B), (C), (A)
4. (C), (B), (D), (A)

Options 1. 1

2. 2

3. 3

4. 4

Q.29 In the closed economy, the ex-ante aggregate demand for final goods is the sum total of:

1. Ex-ante consumption expenditure and ex-post investment expenditure on such goods.
2. Ex-ante consumption expenditure and ex-ante investment expenditure on such goods.
3. Ex-post consumption expenditure and ex-post investment expenditure on such goods.
4. Ex-post consumption expenditure and ex-ante investment expenditure on such goods.

Options 1. 1

2. 2

3. 3

4. 4

Q.30 The ratio of nominal to real GDP refers to which economic concept?

1. National Product
2. Wholesale Price Index
3. Consumer Price Index
4. GDP Deflator

Options 1. 1

2. 2

3. 3

4. 4

Q.31 What are the key components of a perfectly competitive market?

(A) Large number of buyers and sellers.

(B) Homogeneous product.

(C) Free entry and exit.

(D) Asymmetric information.

Choose the correct answer from the options given below:

1. (A), (B) and (D) only

2. (A), (B) and (C) only
3. (A), (B), (C) and (D)
4. (B), (C) and (D) only

Options 1. 1

2. 2
3. 3
4. 4

Q.32 Goods which are traded in large quantity and are not purchased by ordinary consumers. The price measure of such trading is known as _____.

1. Wholesale Price Index
2. Consumer Price Index
3. Industrial Goods Index
4. Foodgrain Price Index

Options 1. 1

2. 2
3. 3
4. 4

Q.33 Change in total cost per unit of change in output is defined as:

1. Short run marginal cost.
2. Average fixed cost.
3. Short run average cost.
4. Average variable cost.

Options 1. 1

2. 2
3. 3
4. 4

Q.34 The tendency where marginal productivity first increases then starts falling is known as _____.

1. Law of variable proportions
2. Marginal rate of substitution
3. Increasing cost
4. Marginal productivity

Options 1. 1

2. 2
3. 3
4. 4

Q.35 In the short run, which of the following conditions is mandatory for a firm for its profit maximization at q_0 ?

1. Price must be greater than the average cost.
2. The price must be greater than the marginal cost.
3. Marginal cost must be decreasing at q_0 .
4. Price must be greater than the average variable cost.

Options 1. 1

2. 2
3. 3
4. 4

Q.36 Addition to the stock of physical capital and changes in the inventory of a producer is known as _____.

1. Asset
2. Expenditure
3. Investment
4. Aggregate Demand

Options 1. 1

2. 2
3. 3
4. 4

Q.37 Minimum support price of a foodgrain is the example of _____.

1. Floor Pricing
2. Price Ceiling
3. Maximum Retail Price
4. Price Discrimination

Options 1. 1

2. 2
3. 3
4. 4

Q.38 According to the law of variable proportions, the marginal product of an input initially rises and then after a certain level of employment, it starts falling. The MP curve therefore looks like:

1. 'U' Shaped
2. Convex to Origin
3. 'L' Shaped
4. Inverse 'U' Shaped

Options 1. 1

2. 2
3. 3
4. 4

Q.39 Identify the factors of price elasticity of demand.

- (A) Nature of Goods.
- (B) Availability of Substitution.
- (C) Complementary Goods.
- (D) Cost of Goods.

Choose the correct answer from the options given below:

1. (A), (B) and (D) only
2. (A), (C) and (D) only
3. (A), (B) and (C)
4. (B), (C) and (D) only

Options 1. 1

2. 2
3. 3
4. 4

Q.40 From which of the following, consumers can choose their consumption bundle?

1. Budget Line
2. Budget Set
3. Indifference Curve
4. Marginal Rate of Substitution

Options 1. 1

2. 2
3. 3
4. 4

Q.41 Increasing return to scale (IRS) implies that if we increase all the inputs by a certain proportion, output increases by more than that proportion. In other words, to increase output by a certain proportion, inputs need to be increased by less than that proportion. With the input prices given, cost also increases by a lesser proportion. For example, suppose we want to double the output. To do that, inputs need to be increased, but less than double. The cost that the firm incurs to hire those inputs therefore also need to be increased by less than double. What is happening to the average cost here? It must be the case that as long as IRS operates, average cost falls as the firm increases output.

Decreasing return to scale (DRS) implies that if we want to increase the output by a certain proportion, inputs need to be increased by more than that proportion. As a result, cost also increases by more than that proportion. So, as long as DRS operates, the average cost must be rising as the firm increases output.

Constant return to scale (CRS) implies a proportional increase in inputs resulting in a proportional increase in output. So the average cost remains constant as long as CRS operates.

It is argued that in a typical firm IRS is observed at the initial level of production. This is then followed by the CRS and then by the DRS. Accordingly, the LRAC curve is a 'U'-shaped curve. Its downward sloping part corresponds to IRS and upward rising part corresponds to DRS. At the minimum point of the LRAC curve, CRS is observed.

When we have proportionately more output than input, this economic concept is known as _____.

1. Constant return to scale
2. Decreasing return to scale
3. Marginal rate of substitution
4. Increasing return to scale

Options 1. 1

2. 2
3. 3
4. 4

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In which condition, the average cost of a firm declines when output increases?

1. Marginal productivity.
2. Constant return to scale.
3. Decreasing return to scale.
4. Increasing return to scale.

Options 1. 1

2. 2
3. 3
4. 4

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In which of the following conditions, output increases with the same proportion of input?

1. Increasing return to scale.
2. Decreasing return to scale.
3. Constant return to scale.
4. Diminishing marginal productivity.

Options 1. 1

2. 2
3. 3
4. 4

Q.44 Increasing return to scale (IRS) implies that if we increase all the inputs by a certain proportion, output increases by more than that proportion. In other words, to increase output by a certain proportion, inputs need to be increased by less than that proportion. With the input prices given, cost also increases by a lesser proportion. For example, suppose we want to double the output. To do that, inputs need to be increased, but less than double. The cost that the firm incurs to hire those inputs therefore also need to be increased by less than double. What is happening to the average cost here? It must be the case that as long as IRS operates, average cost falls as the firm increases output.

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In a long-run average cost curve, which point is said to be the constant return to scale?

1. Upward Slope
2. Minimum Point
3. Mid-point in upward slope
4. Downward Slope

Options 1. 1

2. 2
3. 3
4. 4

Q.45 Increasing return to scale (IRS) implies that if we increase all the inputs by a certain proportion, output increases by more than that proportion. In other words, to increase output by a certain proportion, inputs need to be increased by less than that proportion. With the input prices given, cost also increases by a lesser proportion. For example, suppose we want to double the output. To do that, inputs need to be increased, but less than double. The cost that the firm incurs to hire those inputs therefore also need to be increased by less than double. What is happening to the average cost here? It must be the case that as long as IRS operates, average cost falls as the firm increases output.

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To increase the output by a certain proportion, if inputs need to be increased by more than that proportion, that condition lies in which of the following?

1. Increasing return to scale.
2. Decreasing return to scale.
3. Constant return to scale.
4. Proportionate return.

Options 1. 1

2. 2
3. 3
4. 4

Q.46 THE FOREIGN EXCHANGE MARKET

The market in which national currencies are traded with one another is known as the foreign exchange market. The major participants in the foreign exchange market are commercial banks, foreign exchange brokers and other authorized dealers and monetary authorities. It is important to note that although participants themselves may have their own trading centers, the market itself is world-wide. There is close and continuous contact between the trading centers and the participants deal in more than one market.

Foreign currency flows into the home country for the following reasons: exports by a country lead to the purchase of its domestic goods and services by foreigners; foreigners send gifts or make transfers; and, the assets of a home country are bought by foreigners. A rise in the price of foreign exchange will reduce foreigners' costs while purchasing products from India and other things will remain constant. This increases India's exports and hence the supply of foreign exchange may increase.

Different countries have different methods of determining their currency's exchange rate. It can be determined through Flexible Exchange Rate, Fixed Exchange Rate or Managed Floating Exchange Rate. Floating exchange rate is determined by the market forces of demand and supply. Where fixed exchange rate is determined by the government at a particular level. In floating exchange rate increasing value of currency is known as appreciation and a decreasing value is known as devaluation where in fix exchange rate decreased value is known as devaluation. Managed floating exchange rate is combination of flexible and fixed exchange rate where at certain movement central intervene through market operation to manage currency exchange rate.

In an economy, to control a high balance of payment problem, if the government decided to reduce its currency value against globally accepted foreign currency, this process is known as:

1. Appreciation of Domestic Currency.
2. Depreciation of Domestic Currency.
3. Dirty Floating.
4. Devaluation of Domestic Currency.

Options 1. 1

2. 2
3. 3
4. 4

Q.47 THE FOREIGN EXCHANGE MARKET

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services by foreigners; foreigners send gifts or make transfers; and, the assets of a home country are bought by foreigners. A rise in the price of foreign exchange will reduce foreigners' costs while purchasing products from India and other things will remain constant. This increases India's exports and hence the supply of foreign exchange may increase. Different countries have different methods of determining their currency's exchange rate. It can be determined through Flexible Exchange Rate, Fixed Exchange Rate or Managed Floating Exchange Rate. Floating exchange rate is determined by the market forces of demand and supply. Where fixed exchange rate is determined by the government at a particular level. In floating exchange rate increasing value of currency is known as appreciation and a decreasing value is known as devaluation where in fix exchange rate decreased value is known as devaluation. Managed floating exchange rate is combination of flexible and fixed exchange rate where at certain movement central intervene through market operation to manage currency exchange rate.

When income increases and due to the increase in income the demand for foreign goods increases, then in this scenario what impact does the economy face on the foreign exchange rate?

1. Appreciation of domestic currency.
2. Devaluation of domestic currency.
3. No change in domestic currency rate.
4. Depreciation of domestic currency.

Options 1. 1

2. 2
3. 3
4. 4

Q.48 THE FOREIGN EXCHANGE MARKET

The market in which national currencies are traded with one another is known as the foreign exchange market. The major participants in the foreign exchange market are commercial banks, foreign exchange brokers and other authorized dealers and monetary authorities. It is important to note that although participants themselves may have their own trading centers, the market itself is world-wide. There is close and continuous contact between the trading centers and the participants deal in more than one market.

Foreign currency flows into the home country for the following reasons: exports by a country lead to the purchase of its domestic goods and services by foreigners; foreigners send gifts or make transfers; and, the assets of a home country are bought by foreigners. A rise in the price of foreign exchange will reduce foreigners' costs while purchasing products from India and other things will remain constant. This increases India's exports and hence the supply of foreign exchange may increase. Different countries have different methods of determining their currency's exchange rate. It can be determined through Flexible Exchange Rate, Fixed Exchange Rate or Managed Floating Exchange Rate. Floating exchange rate is determined by the market forces of demand and supply. Where fixed exchange rate is determined by the government at a particular level. In floating exchange rate increasing value of currency is known as appreciation and a decreasing value is known as devaluation where in fix exchange rate decreased value is known as devaluation. Managed floating exchange rate is combination of flexible and fixed exchange rate where at certain movement central intervene through market operation to manage currency exchange rate.

An increase in the exchange rate implies that the price of foreign currency in terms of domestic currency has increased; this is called _____.

1. Appreciation of the domestic currency.
2. Devaluation of domestic currency.
3. Depreciation of domestic currency.
4. Dirty floating.

Options 1. 1

2. 2

3. 3

4. 4

Q.49 THE FOREIGN EXCHANGE MARKET

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When the central bank intervenes to control the exchange rate through the sale/purchase of foreign currencies, this process is called _____.

1. Managed Floating Exchange Rate.
2. Flexible Exchange Rate.
3. Fixed Exchange Rate.
4. Open Market Operation.

Options 1. 1

2. 2

3. 3

4. 4

Q.50 THE FOREIGN EXCHANGE MARKET

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The place where currencies are traded is known as _____.

1. Foreign Exchange Market.
2. Commercial Bank.
3. Investment Bank.
4. Money Market.

Options 1. 1

2. 2

3. 3

4. 4